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Study Notes

SARFAESI Act

Descriptive Question Notes

Question no. 1. Explain Asset Reconstruction and Financial Asset under SARFAESI Act?

- (a) Asset Reconstruction: Sec. 2 (b) of SARFAESI Act, 2002, asset reconstruction means acquisition by any asset reconstruction company (RC) of any right or interest of any bank or financial institution in any financial assistance for the purpose of realisation of such financial assistance.
- (b) Financial Asset: Financial asset means debt or receivables and includes:
- (i) a claim to any debt or receivables or part thereof, whether secured or unsecured; or
 - (ii) any debt or receivables secured by, mortgage of, or charge on, immovable property; or
 - (iii) a mortgage, charge, hypothecation or pledge of movable property; or
 - (iv) any right or interest in the security, whether full or part underlying such debt or receivables; or
 - (v) any beneficial interest in property, whether movable or immovable, or in such debt, receivables, whether such interest is existing, future, accruing, conditional or contingent; or
 - (vi) any beneficial right, title or interest in any tangible asset given on hire or financial lease or conditional sale or under any other contract which secures the obligation to pay any unpaid portion of the purchase price of such asset or an obligation incurred or credit otherwise provided to enable the borrower to acquire such tangible asset; or
 - (vii) any right, title or interest on any intangible asset or licence or assignment of such intangible asset, which secures the obligation to pay any unpaid portion of the purchase price of such intangible asset or an obligation incurred or credit otherwise extended to enable the borrower to acquire such intangible asset or obtain licence of the intangible asset; or
 - (viii) any financial assistance.

Question no. 2. Discuss the concept of Securitization under SARFAESI Act?

As per Sec. 2(z) of SARFAESI Act, 2002 Securitisation means acquisition of financial assets by any asset reconstruction company from any originator, whether by raising of funds by such asset reconstruction company from qualified buyers or issue of security receipts representing undivided interest in such financial assets or otherwise.

The process of securitisation helps the Asset Reconstruction Company to acquire financial assets like Loans from banks due to which the ARC shall be deemed to be the lender and all the rights of such bank or financial institution shall vest in such company in relation to such financial assets..

Question no. 3. On what grounds the Reserve Bank of India can cancel a certificate of registration granted to an Asset Reconstruction Company?

As per Sec. 4 of SARFAESI Act, 2002, RBI may cancel a certificate of registration granted to an ARC, if such company-

- (a) ceases to carry on the business of securitisation or asset reconstruction; or
- (b) ceases to receive or hold any investment from a qualified buyer; or
- (c) has failed to comply with any conditions subject to which the certificate of registration has been granted to it; or
- (d) at any time fails to fulfil any of the conditions referred to in Sec. 3; or
- (e) fails to-
 - comply with any direction issued by the RBI; or
 - maintain accounts in accordance with the requirements of any law or any direction or order issued by the RBI; or
 - submit or offer for inspection its books of account or other relevant documents when so demanded by the RBI; or
 - obtain prior approval of the Reserve Bank in situations specified u/s 3 for substantial change in management, change of location and change of name..

Question no. 4. Explain briefly the procedure relating to enforcement of security interest under SARFAESI Act, 2002

Procedure relating to enforcement of security interest:

- Procedure relating to enforcement of security interest is contained in Sec. 13 of SARFAESI Act, 2002. Accordingly, any security interest created in favour of any secured creditor may be enforced, **without the intervention of the court or tribunal**, by such creditor in accordance with the provisions of this Act. Steps involved are:
- **Issuing Notice to borrower:** Where any borrower, who is under a liability to a secured creditor under a security agreement, makes any default in repayment of secured debt or any instalment thereof, and his account in respect of such debt is classified by the secured creditor as NPA, then, the secured creditor may require the borrower by notice in writing to discharge in full his liabilities to the secured creditor **within 60 days from the date of notice failing** which the secured creditor shall be entitled to exercise all or any of the rights conferred by Sec. 13(4).

- **Contents of Notice:** Notice shall give details of the amount payable by the borrower and the secured assets intended to be enforced by the secured creditor in the event of non-payment of secured debts by the borrower.
- **Consideration of borrower representations by secured creditors:** If, on receipt of the notice, the borrower makes any representation or raises any objection, the secured creditor shall consider such representation or objection and if the secured creditor comes to the conclusion that such representation or objection is not acceptable or tenable, he shall communicate within 15 days of receipt of such representation or objection the reasons for non-acceptance of the representation or objection to the borrower.
- **Secured creditors right to recover his secured debt:** If the borrower fails to discharge his liability in full within the above specified period, the secured creditor may take recourse to one or more of the following measures to recover his secured debt:
 - a) take possession of the secured assets of the borrower including the right to transfer by way of lease, assignment or sale for realising the secured asset;
 - b) take over the management of the business of the borrower including the right to transfer by way of lease, assignment or sale for realising the secured asset;
 - c) appoint any person (as manager), to manage the secured assets the possession of which has been taken over by the secured creditor;
 - d) require at any time by notice in writing, any person who has acquired any of the secured assets from the borrower and from whom any money is due or may become due to the borrower, to pay the secured creditor, so much of the money as is sufficient to pay the secured debt.

Question no. 5. What are the measures of asset reconstruction as per SARFAESI Act?

Measures for assets reconstruction are given in Section 9 of SARFAESI Act. Following measures can be undertaken

- a) the proper management of the business of the borrower, by change in, or take over of, the management of the business of the borrower;
- b) the sale or lease of a part or whole of the business of the borrower;
- c) rescheduling of payment of debts payable by the borrower;
- d) enforcement of security interest in accordance with the provisions of this Act;
- e) settlement of dues payable by the borrower;
- f) taking possession of secured assets in accordance with the provisions of this Act;
- g) conversion of any portion of debt into shares of a borrower company:.

Question no. 6. Write a short note on Central Registry mentioned in SARFAESI Act

The central registry is established by the Central Government to govern and control the functions of securitisation, asset reconstruction, and the development of security interests. Branch offices of the central registry may be formed on an as-needed basis. The registry is led by a central registrar. The central registry performs the following functions:

- Particulars pertaining to asset securitisation, financial asset reconstruction, and the establishment of security interests are recorded in a record known as the central register.
- The records can also be preserved in electronic forms, such as on floppies, diskettes, and so on.
- The particulars of any securitisation, asset reconstruction, or formation of security interest transaction must be filed within 30 days after the transaction by the securitization and reconstruction company, or lender, as the case may be.
- Modifications to a security interest registered with the Registry must be submitted within 30 days of the change.
- Security interest satisfaction must be submitted with the Registry within 30 days after satisfaction.
- On payment of the authorised price, any individual may see the records kept at the central registry..

Question no. 7. What are the methods for recovery under SARFAESI Act?

The RBI is responsible for the regulation and registration of securitisation or rebuilding businesses under the SARFAESI Act of 2002. These firms have been given permission to raise cash by selling security receipts to a qualified institutional buyer. This has enabled banks and financial institutions the authority to take control of securities issued in exchange for financial assistance and sell or lease them in order to take over management in the event of a failure. The SARFAESI Act specifies **two basic techniques** for recovering non-performing assets and these are as follows:

- **Asset reconstruction:** The Asset reconstruction industry in India was born as a result of the SARFAESI Act. It is defined under Section 2(1)(b) of the Act. It can be accomplished by either proper management of the borrower's business, or by taking over it, or by selling a portion or the entire business, or by rescheduling payment of debts payable by the borrower, or by the enforcement of a security interest in compliance with the conditions of this Act.
- **Securitisation:** The practice of creating marketable securities supported by a pool of potential assets such as auto or house loans is known as securitisation. It is defined under Section 2(1)(z) of the Act. An asset is sold once it has been turned into a marketable security. By developing schemes for obtaining financial assets, a securitisation or reconstruction firm can acquire capital from exclusively QIB (Qualified Institutional Buyers).

Question no. 8. Explain the purpose and significance of SARFAESI Act

The Central Government established the Narasimham Committees I and II, as well as the Andhyarujina Committee, to investigate banking sector reforms. These committees assessed the necessity for changes in the legal framework in these sectors and proposed new laws for Securitisation and permitting financial institutions to hold securities and sell them in a timely manner without the involvement of a court. These recommendations led to the enactment of SARFAESI Act, 2002.

The Recoveries of Debts due to Banks and Financial Institutions Act, 1993, which established a special Debt Recovery Tribunal ('DRT') did not speed up the recovery and the severe civil law requirements rendered the attachment and foreclosure of the assets offered as security for the loan nearly worthless. The balance sheets of banks and other financial institutions were turning red as a result of large mandated provisions for non-performing assets.

The SARFAESI Act was enacted with the intention of allowing banks and other financial institutions (FIs) to recuperate on NPAs without the intervention of a court, fulfilling the dual goal of debt recovery and foreclosure of security.

The SARFAESI Act has two main objectives, namely:

1. Recovering the financial institutions' and banks' non-performing assets (NPAs) in a timely and effective manner, without the intervention of courts.
2. Allows financial organisations and banks to sell residential and commercial assets at auction if a borrower defaults on his or her debt.

The SARFAESI Act, 2002 was passed to reform the financial industry allowing banks and financial institutions to solve issues like liquidity, long-term assets, growing NPAs, and loan recovery delays (reconstruction).

The following are the key aspects of the SARFAESI Act:

- Formation of Special Purpose Vehicles, namely a Securitisation Company and a Reconstruction Company;
- Financial asset securitisation;
- Securitisation funding;
- Reconstruction of assets;
- Enforcing security interests, i.e. seizing the assets pledged as collateral for the loan;
- The establishment of a Central Registry for the regulation and registration of Securitisation transactions;
- Plate provisions - No civil court shall hear any case over which the DRT or Appellate Tribunal has jurisdiction under this SARFAESI Act
- Dilution of provisions of SICA (Sick Industrial Companies (Special Provisions) Act, 1985);
- Transactions that are exempted from stamp duty.